- **VCES** (Voluntary Compliance Encouragement Scheme) launched for recovering service tax dues.
- Rs. 9,000 crore earmarked as the first installment of balance of CST compensations to different States/UTs.

SUMMARY OF THE BUDGET

The Union Budget for 2013-14 aims at *'higher growth leading to inclusive and sustainable development.'* With this as ***mool mantra***, the Finance Minister Shri P Chidambaram has sought to increase allocation to key areas and provide incentives for investments and savings while containing the fiscal deficit to 4.8 per cent of GDP.

Fiscal deficit for the current year contained at 5.2 per cent and for the year 2013-14 at 4.8 per cent. Revenue deficit for the current year at 3.9 per cent and for the year 2013-14 at 3.3 per cent. By 2016-17 fiscal deficit to be brought down to 3 per cent, revenue deficit to 1.5 per cent and **ERD**[1] (Effective Revenue Deficit) to zero per cent.

The Finance Minister expressed the hope that India would achieve high economic growth despite slowdown in the global economic growth. The Minister said that his government has been able to contain the fiscal deficit at 5.2% in 2012-13 by following the path of fiscal consolidation. But the **CAD**[2] (current account deficit) is a greater worry, the Minister added. He, therefore, proposes to encourage foreign investment that is consistent with India's economic objectives. The Finance Minister said that the other areas of concern addressed by his Government are inflation and government expenditure. *"Our efforts in the past few months have brought down headline WPI inflation to about 7.0 percent and core inflation to about 4.2 percent. It is food inflation that is worrying, and we shall take all possible steps to augment the supply side to meet the growing demand for food items,"* he said. The Minister further said that he had no choice but to rationalise government expenditure in view of huge fiscal deficit in 2012-13. "We also took some policy decisions that had been deferred for too long, corrected some prices, and undertook a review of certain tax policies."